of the several branches of industry. Taking the aggregate results of each of our 67 subdivisions, we find indeed wide variations, ranging from 39.8% on capital for the soft-drink companies down to an actual deficit for the leather concerns.

But just as striking as this diversity are variations within the individual groups. This point is brought out in Table VI, which lists the maximum, minimum and median percentages within, as well as the over-all figure for, those groups which show the five largest percentages under each heading. (We give similar figures covering the five *lowest* group totals.) It will be noted that many of the divisions making the best showing as a whole include individual companies that earn nothing at all or very little—and, to some extent, the converse is also true.

These divergences within industry groups should go far to temper the natural inclination for investors and analysts to attach *dominant* merit or demerit to the line of business. That the type of industry is of great significance in judging a common-stock issue goes without saying; but snap or extreme judgments based on this factor alone may often prove unsound.

When the classification is made by *size*, some interesting facts develop. The main point is that average earnings on capital (*i.e.*, tangible assets available for bonds and stocks) run almost identical for all five groupings, beginning with companies smaller than 10 millions and running up to the giants which overpass a billion dollars. Furthermore, the smallest contingent actually *sells* at a slightly higher price than the others in relation to asset values.

But if we apply the identical classifications to market values, instead of to tangible asset values—as we do also in Table III*A*—an entirely different situation develops. The small companies are found to be least profitable, although they have proportionately far greater assets and sales. The reason is not far to seek. Their market value is small because they are unprofitable, and not *vice versa*. These two sets of comparisons suggest that the pressure on the smaller businesses has not yet become so serious as to reduce their earning power on capital *in the aggregate* below that of their larger competitors.[7] But that the individual small business is more vulnerable to adversity and that the widest range of performance is to be found in this class is hardly open to question.

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[7] See a detailed study by Simon N. Whitney, entitled "Statistics Disprove Assertion that Giant Companies Squeeze Out Small Rivals," published in the *Annalist*, Dec. 28, 1939; his figures, leading to the same conclusion as above, are based in part on census data and thus cover a wider range. For an opposing viewpoint see E. V. Kennedy, *Dividends to Pay*, 1939.